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Lecture 06: Market Structure & Competition

P&C Insurance Industry Overview

- The Canadian P&C industry is a major economic driver, employing approximately 140,500 people as of 2022.
- P&C companies held $232 billion in total assets, with $152 billion of that held in invested assets.
- The industry paid $13 billion in taxes to federal and provincial governments in 2021.
- More than 196 private companies sell PNC insurance in Canada, and approximately half of them are foreign firms.
  - Most major Canadian banks have insurance subsidiaries; however, regulations prohibit them from selling insurance directly through their retail branch networks.
  - They have to operate these subsidiaries separately.
- 38% of written premiums collected are from auto insurance, and Ontario is the largest market.

Property Insurance:

- Protects the insured against physical loss or damage to real and personal property.
- The policy can either be a named peril or an open peril policy.
  - Named peril policies cover losses associated with specific named events, like flood insurance.
  - Open peril policies ensure against all perils except those specifically excluded by the policy, like war.

Casualty Insurance:

- Offers protection from legal responsibility for losses stemming from damage to another's property or an injury to another person.
- Distinctions between property and casualty insurance are becoming quite blurred because they are often sold together.
  - Auto insurance is at the intersection of both property and casualty insurance.
    - You recking your car is covered under property insurance.
    - You accidentally hit another car with yours, it is covered under casualty insurance.

Lines of P&C Insurance

- Insurance companies earn revenues through premiums and on investments they make.
- They track premiums in two distinct ways:
  - Direct Written Premiums: Total premiums collected
  - Net Written Premiums: Total amounts adjusted for portions paid to the insurers
- To spread the risk, a reinsurance company agrees to accept risks of another insurance company in exchange for a payment.
- P&C insurers have $83 billion in direct written premiums on six major lines in 2022.
- The net written premiums are $68 billion.
  - Automobile insurance 39%
  - Property insurance:
    - Personal: 22%
    - Commercial: 17%
  - Liability insurance 12%
  - Specialized insurance 7%
  - Accident and Sickness Insurance 2%
- Net claims incurred are the total claim costs less any share to be paid by re-insurers.

Catastrophic Losses

- Insured losses for a given disaster are deemed catastrophic when they total $30 million or more.
- Frequency of catastrophic losses have risen dramatically over the past decade due to the increase in number and severity of natural disasters.
- The severity of catastrophic losses is increasing for many reasons:
  - Inflation
  - Market value
  - Population density
  - Aging Infrastructure and Buildings

Future Outlook

Consumer Evolution

- Consumers are becoming highly connected, demanding value, conscious, and far more likely to switch insurer carriers.
- Opportunities for insurance companies:
  - Focus on brand and customer experience.
  - Focus on Digital Disruption
  - Anticipate changes and adapt business in advance.

Competition

- The industry is highly fragmented, with more than 196 players
- However, only a few companies at the top dominate
- There is an active threat of new entrants through mergers and acquisitions
- Opportunities for insurance companies:
  - Mergers and Acquisitions
  - Demutualization (***Demutualization is the process by which a customer-owned company, like a mutual insurance company, transforms into a publicly traded investor-owned company.***)

Technology

- Canadian insurers have been slow to adapt to modern technology.
- Upgrading technology would increase the efficiency as well as increase the underwriting profit by reducing operational costs.
- Opportunities for Canadian insurance companies:
  - Digital or electronic processing of claims
  - Predictive analytics
  - Demutualization (access to massive funding for adopting new technology)

Insurance Industry Regulation

- P&C insurers may be federally or provincially incorporated. Therefore, regulation is shared by the provincial and federal government.
- The Office of the Superintendent of Financial Institutions (OSFI) is the federal regulator responsible for 75% of the companies.
- Regulators have strict rules to make sure an insurance company doesn't go bankrupt when a major disaster hits:
  - Insurers are legally required to maintain loss reserves that are completely adequate to cover anticipated future claims.
  - Capital requirements are in place, which is a minimum percentage by which a company's assets must exceed its liabilities.

- If a P&C company does go insolvent, the Property and Casualty Insurance Compensation Corporation (PACICC) steps in like a safety net to pay outstanding claims and refund advance premiums up to specific limits.
    - Auto and commercial policies are covered up to $250,000.
    - Home insurance policies are covered up to $300,000 per policy.
